ACME Corp. Annual Report 2023

1. Financial overview

ACME sells consumer electronics through retail partners in five regions. This section summarises the results of the last three fiscal years.

Table 1. Income summary, 2021-2023 (USD millions)

Fiscal year	Revenue (gross)	Revenue (net)	Net income	Net margin
2021	$1,290.4	$1,204.5	$96.3	8.0%
2022	$1,415.8	$1,322.0	$(12.4)	(0.9%)
2023	$1,391.2	$1,288.7	$103.1	8.0%

(1) Net revenue is gross revenue minus returns, discounts and sales taxes.

Note: 2022 includes a one-off restructuring charge of USD 85 million.

Net revenue fell in 2023 as volumes in Cuyo and Pampa declined, while margins recovered after the restructuring.

2. Research and development

ACME keeps investing in new products. R&D expenses are reported in USD millions and staff as people at year end.

Table 2. Research and development expenses and staff

Fiscal year	R&D expenses	R&D staff
2021	84.3	310
2022	97.6	342
2023	112.9	365

Source: ACME finance department.

3. Regional sales

Net sales are broken down by the region of the retail partner. Market share is ACME's share of each region's consumer electronics retail market.

Table 3. Net sales by region (USD millions) and market share

Region	Net sales			Market share	
	2021	2022	2023	2022	2023
Patagonia	210.3	231.7	239.8	12.4%	13.1%
Cuyo	185.2	201.4	190.6	9.8%	9.2%
Pampa	498.6	545.0	520.4	7.5%	7.1%
NOA	176.9	195.3	196.2	11.0%	11.3%
NEA	133.5	148.6	141.7	8.9%	8.5%

* Market share figures come from an industry panel and were not collected for 2021.

Pampa remains the largest region by sales, while Patagonia grew fastest over the period.

4. Strategy and outlook

For 2024 ACME expects modest growth in Patagonia and NOA, supported by two new retail partners. Cost discipline continues after the 2022 restructuring.

The chart below shows the regional mix of net sales in 2023. It is an image and its numbers are not part of any table.



5. Workforce

Employees are counted at the end of each year, in full-time equivalents.

Table 4. Employees by department

Department	Employees 2022	Employees 2023	Change
Engineering	410	452	10.2%
Sales	285	271	(4.9%)
Operations	198	205	3.5%
Data science	n/a	38	n/a
Administration	96	91	(5.2%)

Note: the Data science department was created in 2023.

6. Monthly sales

Monthly net sales are reported in USD thousands; the twelve months of each year add up to that year's net revenue in Table 1.

Table 5. Monthly net sales, January 2021 to December 2023

Month	Net sales (USD thousands)	Change vs previous month
2021-01	90,337.5	n/a
2021-02	85,318.8	(5.6%)
2021-03	95,356.2	11.8%
2021-04	100,375.0	5.3%
2021-05	102,382.5	2.0%
2021-06	98,367.5	(3.9%)
2021-07	105,393.8	7.1%
2021-08	100,375.0	(4.8%)
2021-09	97,363.8	(3.0%)
2021-10	103,386.2	6.2%
2021-11	108,405.0	4.9%
2021-12	117,438.7	8.3%
2022-01	99,150.0	(15.6%)
2022-02	93,641.7	(5.6%)
2022-03	104,658.3	11.8%
2022-04	110,166.7	5.3%
2022-05	112,370.0	2.0%
2022-06	107,963.3	(3.9%)
2022-07	115,675.0	7.1%
2022-08	110,166.7	(4.8%)
2022-09	106,861.7	(3.0%)
2022-10	113,471.7	6.2%
2022-11	118,980.0	4.9%
2022-12	128,894.9	8.3%
2023-01	96,652.5	(25.0%)
2023-02	91,282.9	(5.6%)
2023-03	102,022.1	11.8%
2023-04	107,391.7	5.3%
2023-05	109,539.5	2.0%
2023-06	105,243.8	(3.9%)

Month	Net sales (USD thousands)	Change vs previous month
2023-07	112,761.2	7.1%
2023-08	107,391.7	(4.8%)
2023-09	104,169.9	(3.0%)
2023-10	110,613.4	6.2%
2023-11	115,983.0	4.9%
2023-12	125,648.3	8.3%

Source: ACME sales ledger, unaudited monthly figures.

December is the strongest month every year because of holiday sales.